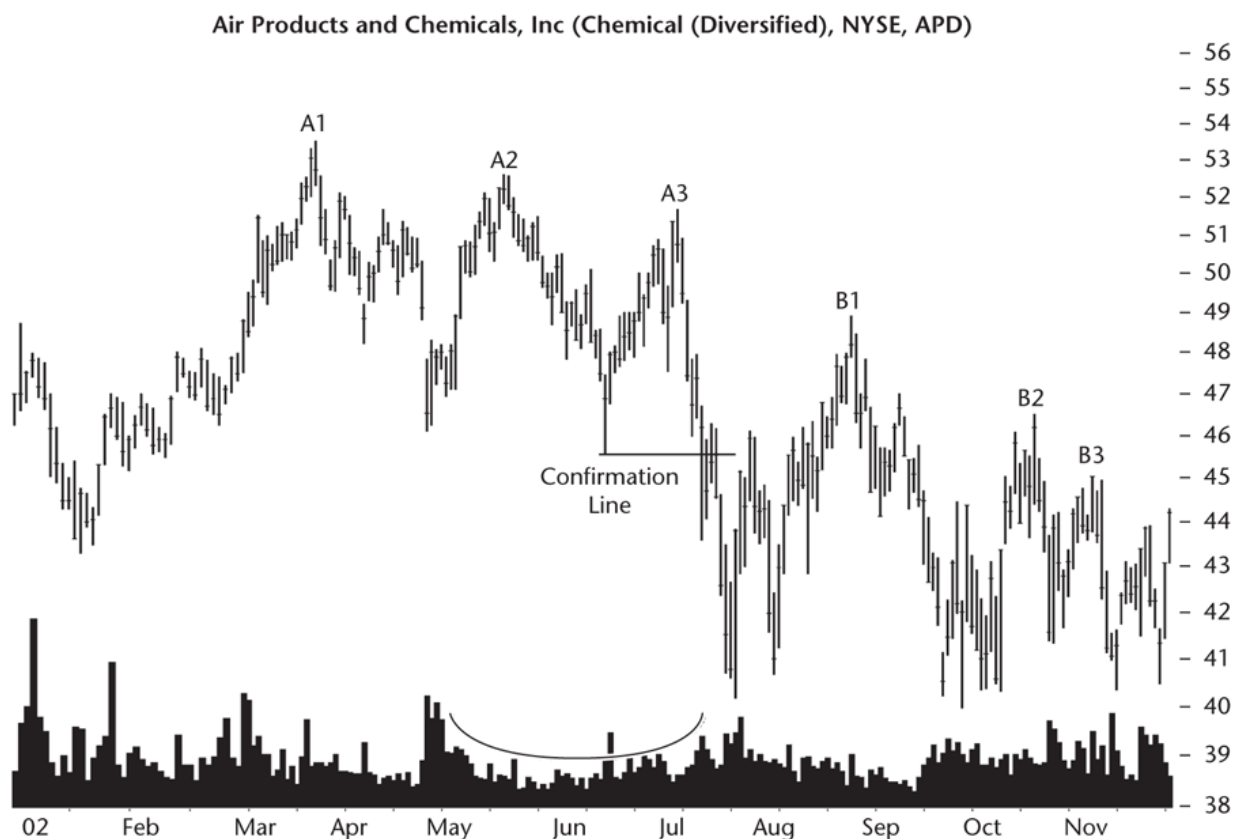




**Figure 61.1** The three falling peaks chart pattern begins with the highest peak in the trend and continues with two successively lower peaks.

## Identification Guidelines

**Table 61.1** shows the identification guidelines for the three falling peaks chart pattern.

**Appearance.** The highest high in each peak must be lower than the prior peak. Allow no ties because we are not searching for double or triple tops. The three peaks need not follow a straight down-sloping trendline.

The three peaks should look similar. Don't mix wide peaks with narrow ones. However, I don't have a good reason for requiring the peaks to look similar. I didn't test the behavior of odd-looking patterns, so if you want to mix narrow and wide peaks, then that's fine.

**Price trend.** Since we are looking for three peaks, you are going to have to do some counting. (Have a set of fingers available, but toes work, too. I tested this.) Begin counting with the highest high on the chart where an